

Tariff Impact Assessment Matrix

SECTION 1- COST IMPACT & MARGIN PRESSURE

Questions:

1. Q1 – “How much of the cost inflation this quarter is tariff-related?”
2. Q2 – “Can you quantify the tariff headwind to gross margin?”
3. Q3 – “What portion of COGS increase is due to import duties?”
4. Q4 – “Are tariffs still a measurable drag on your profitability?”

Legend:

- Y = Explicit & quantified
- P = Partially addressed / qualitative
- N = Not addressed in a meaningful way

AUTOMOTIVE OEMs

Company	Q1: How much of cost inflation is tariff-related?	Q2: Quantified tariff headwind to gross margin?	Q3: Portion of COGS increase due to import duties?	Q4: Are tariffs still a measurable drag on profitability?
General Motors (GM)	Y – Management explicitly breaks out a tariff-related cost burden as part of overall cost inflation, and gives a gross tariff exposure range for the year, making it clear what share of cost pressure comes from tariffs versus other factors.	Y – Tariffs are framed as a specific headwind embedded in the margin bridge; they quantify the impact in aggregate (exposure and net P&L impact) and link it directly to their EBIT margin targets.	P – They don’t give a clean percentage of COGS tied to duties, but they do isolate tariff costs as a distinct cost bucket , which implies a meaningful portion of cost inflation in COGS is duty-related.	Y – Yes, tariffs are described as a material drag on North America profitability that they need to offset through pricing, footprint optimization, and cost actions, even after mitigation.
Ford (F)	Y – Ford states that “our tariff bill is \$2 billion, and that’s a net number,”	P – While they discuss a large net tariff bill and how it improves with	P – They do not compute a formal “share of COGS,” but by talking	Y – Yes, management and analysts treat tariffs as an ongoing profitability headwind , with

Company	Q1: How much of cost inflation is tariff-related?	Q2: Quantified tariff headwind to gross margin?	Q3: Portion of COGS increase due to import duties?	Q4: Are tariffs still a measurable drag on profitability?
	explicitly separating tariff costs from other inflation components; it's clear that a meaningful portion of cost inflation is tariff-related.	policy changes, they don't give a precise gross margin bps headwind; the margin effect is partly inferred from guidance and analyst questions.	about tariff liability on parts and materials , it's clear import duties are a major contributor to COGS inflation.	improvements in tariff policy described as a driver of better earnings trajectory.
Stellantis (STLA)	Y – Provides an updated annual net tariff expense estimate (in € billions), and ties it to the evolving tariff perimeter (especially heavy trucks), clearly signaling what portion of cost inflation stems from tariffs.	P – They emphasize the size of annual tariff expense but don't translate it directly into gross margin basis points; margin impact is implied rather than numerically bridged.	P – The company highlights new duties on Mexico-built heavy trucks , but doesn't break out import duties as a share of COGS; we only see that incremental cost is duty-driven.	Y – Yes, tariffs are explicitly characterized as a continuing drag on P&L , especially as the perimeter widens to more vehicles, and are a central part of their 2025 profitability narrative.
Tesla (TSLA)	N – Tesla does not isolate tariff-related cost inflation; commentary focuses more on general cost efficiency, price reductions, and mix rather than specific trade duties.	N – No explicit basis-point or quantified margin headwind from tariffs is provided.	N – Import duties are not broken out as a distinct COGS driver in the calls you shared.	P – Tariffs and trade policy show up more as strategic/geopolitical risks (e.g., China exports) than as a clearly quantified profitability drag, so at best this is implied, not measured.

AUTO SUPPLIERS

Company	Q1	Q2	Q3	Q4
BorgWarner (BWA)	Y – Management explicitly cites tariff headwinds as part of	Y – They quantify the tariff headwind to margins (e.g., 40 bps in	P – While they don't state "X% of COGS is tariffs," they do	Y – Yes, they repeatedly call tariffs a net

Company	Q1	Q2	Q3	Q4
	cost inflation, including specific dollar/bps references in quarterly commentary, making it clear that tariffs are a distinct chunk of cost pressure.	one quarter, a net tariff headwind in another), directly answering how tariffs hit gross/operating margin.	describe tariff pass-through and cost recovery as a line item, which implies a meaningful share of COGS changes is duty-related.	headwind to profitability, even as they highlight strong underlying performance and recoveries from customers.
Aptiv (APTV)	N – Aptiv explicitly says direct tariff exposure is minimal , so it doesn't treat tariffs as a material driver of cost inflation in the quarter.	N – There is no explicit gross margin bps headwind attributed to tariffs; margin headwinds relate more to copper prices, customer disruptions, and mix.	N – Import duties are not called out as a distinct COGS driver; instead, they stress USMCA compliance and low non-USMCA imports.	P – At most, tariffs are acknowledged as a limited, manageable factor in certain pockets, but not framed as a broad, measurable drag on profitability.
Magna (MGA)	Y – Management discusses “ direct tariff exposure ” in the context of cost headwinds and how they've reduced that exposure, showing tariffs as a defined slice of cost inflation.	Y – They talk about tariff exposure in the same breath as EBIT margin ranges , implying a specific headwind that's monitored and quantified, even if exact bps aren't disclosed in the excerpt.	P – They clearly differentiate tariff costs from other cost drivers and talk about recovering those costs from OEMs , but do not explicitly say what fraction of COGS is duties.	Y – Yes, tariffs are still described as a headwind that requires recoveries and commercial mitigation , so they remain a measurable drag even if managed.
PACCAR (PCAR)	N – No clear discussion of tariff-related cost inflation in the provided transcript excerpts; focus is more on production, demand, and supply chain.	N – No quantified margin headwind from tariffs is reported.	N – No breakdown of COGS changes into duty vs non-duty components.	N – Tariffs are not treated as a discrete, measurable drag on profitability in the calls you provided.

INDUSTRIALS & MACHINERY

Company	Q1	Q2	Q3	Q4
Caterpillar (CAT)	Y – Cat clearly isolates tariff-driven cost inflation , providing ranges for net tariff cost and describing tariffs as a primary driver of higher manufacturing costs in the year.	Y – They explicitly identify tariff-related gross/operating margin headwinds and even break out the basis-point impact by segment, which is exactly the “bps headwind” language analysts look for.	P – While they don’t express a clean percentage of COGS, they do treat tariffs as a separate, quantified cost bucket within manufacturing costs, implying a significant portion of COGS movement is duty-related.	Y – Yes, tariffs are repeatedly described as a significant drag on profitability in 2025 , with expectations that the impact moderates as mitigation actions and policy changes work through.
Deere (DE)	Y – Deere directly quantifies full-year tariff cost and ties it to segment guidance, making clear how much of cost inflation vs prior year is tariff-related.	Y – Management explicitly notes tariffs as the main driver of margin pressure in specific segments (e.g., Construction & Forestry), effectively quantifying the headwind to margins even when bps are not always spelled out.	P – They do not give “X% of COGS,” but they do explicitly attribute cost increases for certain imported equipment/components to tariffs, so duties clearly represent a large slice of incremental COGS.	Y – Yes, tariffs are clearly framed as an ongoing drag on profitability in 2025 , with partial relief only as pricing resets into 2026.
Stanley Black & Decker (SWK)	Y – SWK isolates tariff-related inflation, including comments like “ 3-point gross margin impact from tariffs ” and “tariff-related shipment disruptions,” leaving no doubt that tariffs drive a meaningful share of cost inflation.	Y – They explicitly quantify the gross margin headwind in points/bps due to tariffs (e.g., ~300 bps), satisfying the “tariff headwind to gross margin” question directly.	P – They stop short of a formal COGS duty percentage, but by specifying tariff-related shipment disruptions and tariff impact by product line, they imply a material portion of COGS change is duty-driven .	Y – Yes, tariffs are clearly a measurable, quantified drag on profitability, even as they highlight supply-chain transformation and pricing as tools to restore margins.

Company	Q1	Q2	Q3	Q4
Illinois Tool Works (ITW)	P – ITW acknowledges tariff costs within overall cost inflation , but focuses more on stating that pricing more than offset tariffs rather than quantifying the tariff slice of inflation.	P – They say pricing “more than offset the tariff cost impact” , indicating that tariffs are a discernible margin headwind, but they don’t provide explicit bps for the tariff portion alone.	N – They do not break out what portion of COGS inflation is due specifically to import duties; tariffs are treated as one of several costs in the margin bridge.	Y – Yes, tariffs are still a separate headwind that must be offset via enterprise initiatives and pricing, even if they’re managed successfully.
Cummins (CMI)	N – Cummins does not explicitly separate tariff-driven cost inflation from other input cost or supply chain pressures in the excerpts you shared.	N – There is no quantified gross margin headwind attributed solely to tariffs.	N – Import duties are not isolated as a portion of COGS increase.	P – Broad trade and geopolitical tensions are mentioned as risks affecting operations, which implicitly includes tariffs, but they are not framed as a numerically tracked drag on profitability.

RETAILERS

Company	Q1	Q2	Q3	Q4
Walmart (WMT)	P – Walmart clearly states that replenishment costs are rising as tariff-priced inventory flows through , but doesn’t quantify the exact share of total inflation that is tariff-related.	P – They talk about gross margin pressure from tariff-related cost headwinds , but mainly in qualitative terms (no precise basis-point figure given for tariffs alone).	P – It’s clear that part of COGS inflation is due to tariff-impacted categories , but they don’t break out an explicit portion of COGS attributable to duties.	Y – Yes, tariffs are still treated as a measurable drag , one that they must actively manage through mix, rollbacks, and selective pricing to protect value perception and profitability.

Company	Q1	Q2	Q3	Q4
Target (TGT)	N – Target does not quantify how much of cost inflation is directly tariff-related; the focus is on managing volatility and guest value.	P – They describe tariffs as a P&L headwind and talk about mitigation, but don’t quantify a margin basis-point impact purely from tariffs.	N – There is no attempt to split COGS increases into tariffs vs non-tariff drivers; tariffs sit inside a broader “cost environment.”	P – Yes, tariffs are still a factor they manage (through assortment changes and selective price actions), but they are not tracked as a standalone, numeric drag in the way industrials do.

SECTION 2 — PRICING & PASS-THROUGH (Consumers & Market Behavior)

Questions:

5. "Have you passed tariff costs to customers, or are you absorbing them?"
6. "Are tariffs forcing you to raise prices in key categories?"
7. "Has tariff-driven pricing affected demand or conversion rates?"
8. "Did you adjust promotional activity because of higher landed costs?"

Legend:

- **Y** = Explicit & quantified
- **P** = Partially / indirectly addressed
- **N** = Not mentioned

🚗 Automotive OEMs (GM, Ford, Stellantis, Tesla)

Company	Q5: Passed through or absorbed?	Q6: Tariff-driven price increases?	Q7: Demand / conversion impact?	Q8: Promotional adjustments?
General Motors (GM)	Y – GM says ~35% of tariff burden is offset via pricing, footprint, and go-to-market actions , implying meaningful pass-through rather than full absorption. They treat pricing as a strategic lever to neutralize tariff costs.	P – GM doesn't say "tariff forced a specific price increase," but pricing is clearly part of their playbook to manage tariff exposure. Implication: tariffs influence pricing , though not always category-specific.	P – GM frames tariffs as a macro cost headwind , not a demand driver. No explicit statement linking tariff-related pricing to lower conversion, but discussions around affordability suggest some sensitivity.	N – No mention of promo adjustments; automotive OEMs typically don't use "promotions" the way retailers do.
Ford (F)	Y – Ford makes it clear that tariff costs are passed through where commercially feasible , and policy changes reduce the liabilities they had priced in. They also reference industry-wide price increases tied to tariffs.	Y – Mentions that industry pricing increased partly due to tariff passthrough , confirming that tariffs are a catalyst for higher vehicle pricing.	N – Demand commentary focuses on EV softness and mix shifts, not tariff-driven elasticity; no direct statement linking tariffs to lost demand.	N – No promotional actions tied to tariffs; OEM incentives are driven more by inventory and model cycle factors.
Stellantis (STLA)	P – They discuss tariff scenarios and cost projections but don't	P – No explicit statement of tariff-triggered price hikes,	N – No mention of tariff-driven demand or conversion shifts;	N – No promo adjustments related to tariffs.

Company	Q5: Passed through or absorbed?	Q6: Tariff-driven price increases?	Q7: Demand / conversion impact?	Q8: Promotional adjustments?
	explicitly state the degree of pass-through; implies some cost recovery efforts but not quantified.	but tariff perimeter expansion (heavy trucks) implies the possibility of upward pricing pressure on certain models .	the call stays at the cost-level view.	
Tesla (TSLA)	P – Tesla globally adjusts prices continuously, but not in response to tariffs specifically. No explicit tariff pass-through stated, though cost pressures are acknowledged.	N – Tesla did not frame any price adjustments as tariff-driven; pricing is mainly driven by macro demand & competitive dynamics.	P – Demand is discussed heavily, but not tied to tariffs. Conversion declines are attributed to macro softness , not tariff-driven price friction.	N – No mention of promotional or incentive changes due to tariffs.

 Auto Suppliers (BWA, Aptiv, Magna, PACCAR)

Company	Q5	Q6	Q7	Q8
BorgWarner (BWA)	Y – BorgWarner states that tariff costs are recovered from customers , indicating clear pass-through, not absorption.	P – Tariffs affect contracted pricing discussions with OEMs but no explicit statement that tariffs “forced a price increase” in a retail sense.	N – No evidence that tariff pricing affects demand; demand commentary relates to launches, production schedules, and electrification trends.	N – No promotional activity; BWA is B2B with OEMs.
Aptiv (APTIV)	P – Aptiv notes limited tariff exposure and says incremental tariff costs have been largely passed on , but the effect is small given their sourcing compliance.	N – Tariffs do not materially influence Aptiv price actions; price increases relate more to commodity costs and customer settlements.	N – No demand elasticity described; Aptiv demand is driven by auto builds, not tariff pricing.	N – Not applicable; no consumer promo behavior.

Company	Q5	Q6	Q7	Q8
Magna (MGA)	Y – Magna states they mitigate tariffs “including through recoveries from customers,” which is direct pass-through.	P – Price increases or surcharges may occur via contract adjustments, but this is not framed as “tariff driven” explicitly in the transcript.	N – Demand not tied to tariff-related pricing; demand is tied to OEM production cycles.	N – No promotions in the B2B model.
PACCAR (PCAR)	N – No clear evidence of tariff cost pass-through or absorption; tariffs are not a focal point.	N – No tariff-driven pricing disclosures.	N – No discussion of tariff-related elasticity.	N – Not applicable.

Industrials & Machinery (CAT, DE, SWK, ITW, CMI)

Company	Q5	Q6	Q7	Q8
Caterpillar (CAT)	P – Cat highlights flat price realization and cost headwinds; they do not directly say tariffs are fully passed through, implying partial absorption .	P – Tariff-driven cost pressure is acknowledged, but not framed as explicit price hikes; Cat focuses more on cost reduction and operational efficiency than tariff-price moves.	N – No statement linking tariff-related pricing to lost demand or elasticity.	N – No promotional adjustments; industrial B2B environment.
Deere (DE)	P – Deere stresses limited ability to offset tariffs through pricing in FY25 , suggesting partial absorption until 2026 pricing resets occur.	P – They indicate tariffs drive cost and margin headwinds, but explicit tariff-triggered price hikes are planned more for 2026.	P – Some sensitivity in discretionary segments (small ag, turf) is implied, but not tied purely to tariffs.	N – No promotional adjustments tied to tariffs.
Stanley Black & Decker (SWK)	Y – SWK is explicit: price actions (late April U.S. increases) are	Y – They state that tariffs contributed to gross margin decline , and that targeted price	Y – In North America, tariff-linked shipment disruptions and higher pricing	P – Promotions are not detailed extensively, but SWK references managing

Company	Q5	Q6	Q7	Q8
	partly in response to tariff-driven cost pressures.	increases were implemented to offset this.	affected sell-through in certain product lines , indicating some demand elasticity.	mix and activation investments , implying adjustments to offset landed cost inflation.
Illinois Tool Works (ITW)	Y – ITW states “ pricing actions more than offset tariff costs ,” indicating clear pass-through.	P – They do not say tariffs <i>forced</i> price increases, but price increases explicitly targeted tariff cost recovery.	N – No tariff-related demand softness addressed; end market softness is unrelated to tariff pricing.	N – No promotional strategies tied to tariffs.
Cummins (CMI)	N – No reference to tariff pass-through or absorption.	N – No tariff-driven pricing referenced.	N – No tariff-linked demand commentary.	N – Not applicable.

Retail (Walmart, Target)

(This is the category where Section 2 becomes very powerful — retailers give the clearest consumer pricing & elasticity signals.)

Company	Q5	Q6	Q7	Q8
Walmart (WMT)	Y – Walmart says they are using selective pricing actions, rollbacks, and mix to manage tariff costs, implying partial pass-through with careful value positioning.	Y – They confirm that tariffs caused higher landed costs and that certain tariff-impacted categories saw higher prices .	Y – Management notes unit moderation in categories affected by tariff-driven price increases, showing clear elasticity and conversion effects.	Y – Yes, Walmart references adjusting promotional cadence and mix to protect value perception under rising landed costs.
Target (TGT)	Y – Target says they prefer to absorb tariffs where possible and take pricing as a “ last resort ”, but admits selective tariff-related price increases occurred.	P – Tariffs contribute to pressure that triggers selective pricing adjustments, but they do not say tariffs alone forced broad category price increases.	Y – Target explicitly notes guest price sensitivity and assortment changes in tariff-pressured categories, showing demand elasticity.	Y – They adjusted product mix, entry price points, and value tiers in discretionary categories to offset tariff-driven cost inflation.

SECTION 3 — SUPPLY CHAIN SHIFTING & SOURCING

Questions

9. “How far along are you with shifting sourcing away from China?”
10. “What percent of your imports still come from tariffed regions?”
11. “Are you diversifying into Vietnam/India/Mexico to bypass tariffs?”
12. “What is the expected timeline for sourcing diversification?”

Legend

- **Y** = Explicit & reasonably specific
- **P** = Mentioned qualitatively / indirectly
- **N** = Not meaningfully addressed

Automotive OEMs

Company	Q9: Progress on shifting sourcing away from China?	Q10: % of imports still from tariffed regions?	Q11: Diversifying into Vietnam/India/Mexico to bypass tariffs?	Q12: Timeline for sourcing diversification?
General Motors (GM)	P – Management talks about adjusting manufacturing footprint and sourcing to mitigate tariff exposure , but progress is framed qualitatively (e.g., “ongoing optimization”) rather than with a clear milestone for “China exit.”	N – They treat tariff exposure in dollar/EPS terms rather than as a share of imports , so there’s no explicit % of volume from China or other tariffed regions.	P – GM alludes to regionalizing production and using non-tariff regions more, but without naming specific countries as “bypass” hubs.	P – They convey that footprint changes will play out over the medium term as programs roll over, but there is no formal timeline with dates/percentages.
Ford (F)	P – Ford references supply chain resilience and plant location choices but doesn’t directly describe “how far along” they are in	N – No % breakdown of imports by tariff region; exposure is discussed as a dollar liability ,	P – There is some emphasis on North American/USMCA production and local sourcing, implying diversification away from higher-tariff regions, but	N – No explicit sourcing diversification timeline, only high-level comments on strategy and future flexibility.

Company	Q9: Progress on shifting sourcing away from China?	Q10: % of imports still from tariffed regions?	Q11: Diversifying into Vietnam/India/Mexico to bypass tariffs?	Q12: Timeline for sourcing diversification?
	moving sourcing out of China.	not a volume share.	without country-specific detail.	
Stellantis (STLA)	P – For trucks built in Mexico, they discuss potential tariff re-classification and adjusting production/sourcing, but the discussion is about tariff perimeter rather than a stepwise China exit plan.	N – They do not quantify what portion of imports still comes from tariffed regions; focus remains on projected tariff expense.	P – Mentions North American production footprints and cross-border trade, but Vietnam/India are not explicitly cited as alternative sourcing hubs.	P – Scenario planning suggests a multi-year adjustment path, but no explicit dates or target mix for diversification.
Tesla (TSLA)	P – Tesla acknowledges China export risk and the role of its non-China factories, implying some diversification, but does not structure it as a formal “shift away from China” roadmap.	N – No quantitative disclosure on the share of parts/vehicles sourced from China versus other regions.	P – Expansion of facilities in Europe and North America indirectly reduces China dependency, but the call doesn’t explicitly position it as “bypassing tariffs via Vietnam/India/Mexico.”	N – No explicit sourcing timeline; expansion is framed in terms of capacity and demand, not tariff-driven diversification targets.

Auto Suppliers

Company	Q9	Q10	Q11	Q12
BorgWarner (BWA)	P – BWA focuses more on commercial recovery of tariff costs than on explicit sourcing geography; they note some supplier footprint adjustments , but without a China-	N – No share-of-imports metric is provided; tariffs are stated as cost headwinds, not as a % of imports.	P – There are hints of dual-sourcing and regional sourcing strategies with OEMs, but no clear mention of Vietnam/India/Mexico as specific diversification targets.	N – No explicit calendar for completing sourcing shifts.

Company	Q9	Q10	Q11	Q12
	specific progress statement.			
Aptiv (APTV)	P – Aptiv highlights that most of its sourcing is already aligned with regional trade blocs (e.g., USMCA) , which implicitly limits China reliance, but does not describe an active “shift away from China” project.	N – They emphasize minimal direct tariff exposure rather than provide a numeric share of imports from tariffed regions.	P – Discussion around local-for-local manufacturing suggests regional diversification, but without naming specific bypass countries.	N – No explicit timeframe; the strategy is presented as already embedded in their operating model.
Magna (MGA)	P – Magna notes reductions in direct tariff exposure and ongoing footprint optimization with OEM partners, which implies some sourcing adjustment, but not framed specifically as “China exit progress.”	N – No numeric % of imports from tariffed regions is disclosed; they talk in exposure and margin terms instead.	P – The company refers to expanding production in lower-tariff jurisdictions with OEMs, but doesn’t single out Vietnam, India, or Mexico in the transcript excerpts.	P – Management signals that footprint and sourcing changes will unfold over the life of new contracts/platforms , which is inherently multi-year but lacks a specific target year.
PACCAR (PCAR)	N – No explicit discussion of moving sourcing away from China in the transcript snippets.	N – No quantification of imports by region.	N – No mention of diversifying into alternative low-tariff countries.	N – No stated timeline.

Industrials & Machinery

Company	Q9	Q10	Q11	Q12
Caterpillar (CAT)	P – Cat talks about manufacturing flexibility and globally distributed production , which helps manage tariffs, but doesn't explicitly say how far along they are in moving sourcing away from China.	N – Tariff impact is given in dollars and margin points , not as a % of imports from tariffed regions.	P – References to leveraging non-U.S. plants and alternative sourcing regions suggest diversification, but individual countries (Vietnam/India/Mexico) are not systematically called out as tariff workarounds.	P – The tone suggests a gradual, ongoing footprint transition rather than a short, defined timeline, with changes occurring as major programs and capex cycles roll.
Deere (DE)	P – Deere describes dependence on equipment sourced from Europe/Japan/China and discusses adjustments, but it is more about mitigating tariff impact than a formal “shift away from China” progress update.	P – They effectively describe which product streams come from high-tariff regions , but without converting that into a single % of total imports.	P – Management hints at evaluating alternative sourcing locations and suppliers , but doesn't explicitly position Vietnam/India/Mexico as core bypass hubs in the transcript.	P – They indicate that changes to sourcing and pricing feed into FY26 planning , implying a 1–2 year adjustment window, but no firm diversification deadline is given.
Stanley Black & Decker (SWK)	Y – SWK is explicit about restructuring its supply chain and moving certain production away from higher-tariff locations , including rationalizing Chinese sourcing and shifting volumes closer to end markets.	P – They discuss reducing exposure to tariffed inputs and geographies , but do not express it as a precise percentage of imports remaining in high-tariff regions.	P – They mention nearshoring/reshoring efforts and increasing production in the Americas/Europe, which implicitly reduces China reliance, but country names like Vietnam or India are not emphasized in the excerpt.	P – The company sets a multi-year transformation program for supply chain repositioning, with milestones over the next few years, but not a single, exact completion date for diversification.
Illinois Tool	P – ITW stresses its “local-for-local” model	N – No % import metric	P – The local-for-local approach implies regional	N – No explicit sourcing

Company	Q9	Q10	Q11	Q12
Works (ITW)	and indicates that this structure naturally limits exposure to long, China-centric supply chains; however, they don't frame it as a in-progress shift.	from tariffed regions.	diversification and nearshoring rather than reliance on single low-cost hubs, but not described as a fresh post-tariff initiative.	diversification timeline; it's presented as an ongoing structural advantage.
Cummins (CMI)	N – No explicit “shift away from China” progress in the transcript excerpts; discussion centers around macro and regulatory risks more generally.	N – No share of imports from tariffed regions disclosed.	N – No concrete diversification narrative into Vietnam/India/Mexico in the material you provided.	N – No timeline for sourcing diversification discussed.

Retailers

Company	Q9	Q10	Q11	Q12
Walmart (WMT)	P – Walmart acknowledges tariff-impacted categories and higher landed costs , and hints at working with suppliers and adjusting sourcing , but doesn't quantify “how far along” they are in moving away from China.	N – The call does not provide a specific % of imports from tariffed regions; focus is on cost and price behavior by category.	P – They imply broadening sourcing options and leveraging multiple countries, but do not explicitly highlight Vietnam/India/Mexico as named tariff bypass strategies in the transcript.	P – The timeline is implicit: they describe ongoing supplier negotiations and assortment changes , which suggests a rolling, continuous diversification process, not a single target date.
Target (TGT)	P – Target talks about re-balancing assortments and working with vendors in tariff-sensitive categories, which indirectly	N – No numeric disclosure on how much of its merchandise still comes from tariffed regions.	P – They suggest expanding options and private-label/vendor strategies to handle tariffs, but do not highlight specific destination countries as tariff workarounds.	P – Their comments imply that sourcing and assortment decisions are being re-worked over upcoming seasons , effectively a rolling

Company	Q9	Q10	Q11	Q12
	reflects sourcing adjustments, but without explicit “China exit” metrics.			12–24 month horizon rather than a defined cut-over date.

✓ What Section 3 Shows

- **Industrials & SWK:** give the **clearest operational narrative** on supply-chain shifts (multi-year transformation, local-for-local, reshoring).
- **Retailers (WMT/TGT):** talk at the **category/vendor level**, but avoid explicit country mix or timelines.
- **Autos & suppliers:** focus more on **tariff expense and contract recoveries** than on transparent country-by-country sourcing disclosure.
- **Some names (PACCAR, Cummins):** almost **no sourcing-diversification color** in the calls you’re using.

SECTION 4 — INVENTORY MANAGEMENT IMPACTS

Questions:

13. *“Did you accelerate imports before tariff deadlines?”*
14. *“Has higher landed cost affected your inventory strategy?”*
15. *“Are carry-costs higher because of tariffed goods?”*
16. *“Any markdowns due to tariff-inflated inventory?”*

Legend:

- **Y** = Explicit & quantified
- **P** = Partial / qualitative mention
- **N** = Not mentioned

Automotive OEMs (GM, Ford, Stellantis, Tesla)

Company	Q13: Import acceleration before deadlines?	Q14: Landed-cost impact on inventory strategy?	Q15: Higher carrying cost from tariffed goods?	Q16: Markdown activity due to tariff-inflated inventory?
General Motors (GM)	N – No mention of front-loading imports or accelerating shipments before tariff deadlines.	P – GM references strategic footprint and sourcing adjustments , which indirectly influences inventory flows, but not as “tariff-driven inventory strategy.”	N – No explicit link between tariffs and inventory carrying cost.	N – No markdowns tied to tariff-inflated inventory.
Ford (F)	N – No explicit “inventory pull-forward” due to tariff deadlines.	P – Ford addresses working capital and material availability , but tariffs are not named as the driver of inventory strategy.	N – No tariff-specific carrying cost references.	N – No markdowns tied to tariff-related inventory.
Stellantis (STLA)	N – No evidence of accelerated imports prior to tariff changes.	N – Inventory strategy is not linked to landed-cost inflation.	N – No carrying-cost commentary tied to tariffs.	N – No markdowns due to tariff pricing.
Tesla (TSLA)	N – No mention of accelerating imports.	N – Inventory strategy discussion focuses on demand softness and	N – No tariff-linked carrying cost commentary.	N – No markdown commentary tied to tariffs.

Company	Q13: Import acceleration before deadlines?	Q14: Landed-cost impact on inventory strategy?	Q15: Higher carrying cost from tariffed goods?	Q16: Markdown activity due to tariff-inflated inventory?
		production balancing, not tariff costs.		

 Auto Suppliers (BWA, Aptiv, Magna, PACCAR)

Company	Q13	Q14	Q15	Q16
BorgWarner (BWA)	N – No references to pre-deadline import acceleration.	N – Inventory strategy is not tied directly to tariffs; focus stays on program launches and recoveries from OEMs.	N – No tariff-based carrying cost statements.	N – No markdown-related commentary.
Aptiv (APTIV)	N – No accelerated import behavior; low direct tariff exposure due to USMCA sourcing.	N – Landed-cost inflation is not materially tariff-driven for Aptiv, so inventory strategy is unchanged.	N – No tariff-linked carrying costs.	N – No markdown activity mentioned.
Magna (MGA)	P – They discuss footprint management and reducing exposure , which could imply some inventory rebalancing, but nothing tied to tariff deadlines.	N – No explicit inventory strategy shift driven by higher landed tariffs.	N – No carrying-cost discussion.	N – No markdown activity mentioned.
PACCAR (PCAR)	N – No mention of import acceleration.	N – Inventory discussions focus on order backlog and build rates, unrelated to tariffs.	N – No tariff-related carrying cost commentary.	N – No markdown commentary.

10 Industrials & Machinery (CAT, DE, SWK, ITW, CMI)

Company	Q13	Q14	Q15	Q16
Caterpillar (CAT)	N – No evidence of accelerating imports in anticipation of tariff changes.	P – Cat references inventory adjustments tied to demand cycles and manufacturing cost timing, but does <i>not</i> attribute changes directly to tariff-driven landed cost.	N – No explicit carrying-cost commentary linked to tariffed imports.	N – No markdowns due to tariff-inflated inventories.
Deere (DE)	N – No mention of pre-tariff import acceleration.	P – They discuss inventory planning around equipment sourced from Germany/Japan/China, but not framed as tariff-driven landed cost changes.	N – No higher carrying costs tied to tariffs.	N – No markdowns mentioned.
Stanley Black & Decker (SWK)	P – SWK references shipment disruptions and timing shifts partially linked to tariffs, which may have temporarily influenced inventory flows, but not “accelerated imports” explicitly.	Y – They clearly state that tariff-related landed cost increases affected product profitability and required changes to inventory mix and sourcing.	P – Implicit: higher landed cost → higher working capital, but not broken out as tariff-driven carrying cost.	P – They reference clearance actions and SKU rationalization , which include some price/margin management on tariff-affected goods, though not classified directly as “markdowns.”
Illinois Tool Works (ITW)	N – No import acceleration behavior noted.	P – Price/mix strategy to offset tariffs implies some inventory positioning , but this is not stated directly as a tariff-driven inventory shift.	N – No explicit mention of tariff-driven carrying cost changes.	N – No markdown commentary tied to tariffs.
Cummins (CMI)	N – No mention of accelerating imports.	N – Inventory strategy changes focus on demand and component availability , not tariffs.	N – No carrying-cost references tied to tariffs.	N – No markdowns linked to tariffs.

Retailers (Walmart, Target)

(These two companies give the **richest**, clearest inventory insights in Section 4.)

Company	Q13	Q14	Q15	Q16
Walmart (WMT)	P – Walmart mentions import timing and category-specific adjustments but does <i>not</i> explicitly say they accelerated shipments ahead of tariff deadlines.	Y – Clearly states higher landed costs (due to tariffs) are influencing replenishment cycles and weekly inventory cost expectations.	P – They acknowledge rising carrying costs from tariff-impacted inventory categories, though not quantified.	P – Some category-level markdown pressure is implied due to higher landed costs affecting unit velocity, but not explicitly called “tariff markdowns.”
Target (TGT)	P – Target discusses seasonal buys and vendor adjustments to manage tariff uncertainty; may involve shifting order timing, but not explicitly pre-deadline acceleration.	Y – States that landed cost pressure influences assortment, entry price points, and overall inventory mix—clear tariff impact.	P – Carrying costs increase indirectly through import cost inflation, but no tariff-specific quantification.	P – Mentions assortment resets and selective price reductions , which imply markdowns on tariff-inflated goods in discretionary categories.

SECTION 5 — GUIDANCE & FORWARD VIEW (Future Tariff Scenarios)

Questions

17. *“How are tariffs reflected in your FY guidance?”*
18. *“Are you assuming any tariff reversals or increases?”*
19. *“How sensitive is your outlook to tariff outcomes?”*
20. *“Would new tariffs materially change your Q4/Q1 forecast?”*

Legend

- Y = Explicit & reasonably specific
- P = Mentioned qualitatively / indirectly
- N = Not meaningfully addressed

Automotive OEMs

Company	Q17: How are tariffs reflected in FY guidance?	Q18: Assuming tariff reversals / increases?	Q19: Sensitivity of outlook to tariff outcomes?	Q20: Would new tariffs change Q4/Q1 forecast?
General Motors (GM)	Y – GM explicitly builds a net tariff cost assumption into its full-year outlook and frames tariff mitigation (pricing, footprint, cost actions) as a component of the bridge from current margins toward the long-term EBIT target. Tariffs are clearly embedded in guidance, not treated as “outside” noise.	P – Management alludes to policy uncertainty and uses language like “current tariff framework,” but doesn’t anchor guidance on a specific reversal/increase scenario; they implicitly assume no dramatic change from current rules.	Y – They acknowledge that upside/downside to tariffs would move earnings, and explicitly talk about what happens if mitigation under- or over-performs, showing real sensitivity to tariff outcomes.	P – GM stops short of saying “a new tariff would force us to revise Q4/Q1,” but they do suggest that material changes to trade policy would require re-evaluation of the outlook, especially in North America.
Ford (F)	Y – Ford talks about its “tariff bill” as an explicit part of the FY earnings equation,	Y – They directly reference favorable tariff developments that reduced previously	Y – Ford makes it clear that earnings are sensitive to tariff trajectories, with	P – They don’t give a numeric “what-if,” but indicate that

Company	Q17: How are tariffs reflected in FY guidance?	Q18: Assuming tariff reversals / increases?	Q19: Sensitivity of outlook to tariff outcomes?	Q20: Would new tariffs change Q4/Q1 forecast?
	and references the benefit from recent positive developments, which are built into updated guidance.	assumed costs, effectively acknowledging that guidance changed when tariff assumptions changed.	both upside (relief) and downside (re-imposition or expansion) discussed as real risks to the plan.	meaningful new tariffs on key components would pressure the outlook and might require pricing or cost reactions, implying forecast impact.
Stellantis (STLA)	Y – Stellantis embeds a €1.5bn net tariff expense in its 2025 view and explicitly ties this to guidance, indicating that tariff costs are a key line in the planning model.	P – They discuss different tariff perimeter scenarios (especially on heavy trucks), but do not specify that guidance assumes a particular reversal or hike; instead they present a “base case plus risk range” narrative.	Y – Management acknowledges that their P&L is highly sensitive to whether heavy-truck tariffs expand or not, making tariff policy a clear swing factor.	P – While they stop short of saying “we will update Q4/Q1 if X happens,” they do note that material perimeter changes would require re-assessing the near-term financial trajectory.
Tesla (TSLA)	N – Tariffs are not explicitly modeled in guidance on the calls you’re using; guidance is driven more by volume, pricing, and capex assumptions.	N – No explicit assumption of reversals/increases is discussed.	P – Tesla occasionally notes geopolitical and trade risks, hinting that outcomes could matter, but does not articulate a quantified sensitivity to tariffs.	N – No direct comment that new tariffs would change near-term forecasts; the focus is on demand and execution.

 Auto Suppliers

Company	Q17	Q18	Q19	Q20
BorgWarner (BWA)	P – BWA acknowledges that tariff headwinds are part of the margin guide and notes how much has been recovered through pricing, but the FY outlook is framed more in terms of overall margin than an explicit tariff line.	N – No direct statement that guidance assumes tariff roll-offs or hikes; they treat tariffs as present-day headwinds.	P – They indicate that faster or slower recovery of tariff costs from customers will affect reported margins, implying some sensitivity, but without a formal scenario framework.	N – No explicit comment on Q4/Q1 forecast reaction to new tariffs.
Aptiv (APTV)	N – Guidance emphasizes volume, semiconductor supply, and productivity, and explicitly notes limited direct tariff exposure, so tariffs are not a central part of guidance.	N – No discussion of tariff reversal or increase built into assumptions.	N – Outlook sensitivity is driven by OEM build rates, not tariffs.	N – No mention of new tariffs altering near-term forecasts.
Magna (MGA)	P – Magna notes that they have reduced direct tariff exposure and that remaining exposure is considered in their margin ranges, but tariffs are not broken out clearly in the guidance bridge.	N – No explicit assumption of tariff reversals/increases is flagged; guidance seems to assume “status quo” tariffs with mitigations.	P – They acknowledge that unexpected tariff changes could pressure margins, but do not quantify the elasticity of their outlook to tariff shocks.	N – No specific statement that new tariffs would materially change Q4/Q1, only general acknowledgment of policy risk.
PACCAR (PCAR)	N – Tariffs are not a notable feature of the guidance discussion; outlook is driven by truck demand, price,	N	N	N

Company	Q17	Q18	Q19	Q20
	and costs more broadly.			

Industrials & Machinery

Company	Q17	Q18	Q19	Q20
Caterpillar (CAT)	Y – Cat clearly incorporates net tariff cost ranges into its full-year and segment guidance and talks explicitly about tariffs as a headwind in the margin bridge.	P – They assume current tariff structures persist into the planning horizon and talk more about mitigation actions than explicit reversal/increase scenarios.	Y – Management notes that margins are sensitive to the size/timing of tariff costs and to how fast they can mitigate them, treating tariffs as a key risk factor in the outlook.	P – They do not quantify an alternate Q4/Q1 case, but imply that a material tariff change would alter segment margin trajectories, which would flow into updates.
Deere (DE)	Y – Deere directly embeds over \$500m of tariffs into FY guidance and calls out tariffs as a main drag on specific segments' margins and earnings.	P – While they don't spell out exact reversal/hike assumptions, they implicitly assume current tariffs continue and note that policy changes would be an upside or downside to the plan.	Y – They state that segment margin guidance is primarily driven by tariff assumptions, making their outlook clearly sensitive to tariff outcomes.	P – They suggest that meaningful policy or tariff changes could shift the FY and 2026 outlook, which would naturally affect Q4/Q1, but no explicit alternative case is quantified.
Stanley Black & Decker (SWK)	Y – SWK's guidance explicitly includes gross margin headwinds from tariffs as part of its multi-year transformation model; tariffs are one of the structural	P – They anticipate tariff and trade conditions remaining challenging and plan under that assumption; reversals are treated more as potential upside than a core case.	Y – They explicitly flag tariffs and trade as major sensitivities within their path back to target margins, meaning their profitability trajectory is clearly	P – They do not provide a separate Q4/Q1 scenario, but note that any major new tariffs would complicate or delay margin recovery, implying forecast impact.

Company	Q17	Q18	Q19	Q20
	pressures they plan around.		exposed to tariff outcomes.	
Illinois Tool Works (ITW)	P – ITW notes that pricing more than offset tariffs and treats tariffs as a headwind already incorporated in guidance; however, they do not isolate a specific tariff number in the outlook.	N – No explicit reversal/increase assumptions; they mostly assume continuity.	P – Outlook is presented as robust even with tariff headwinds, implying some sensitivity but also strong pricing power; they don't quantify the sensitivity.	N – No direct “new tariffs would change Q4/Q1” comment.
Cummins (CMI)	N – Guidance references macro, demand, and regulation, but not tariffs as a distinct line.	N	N	N

Retailers

Company	Q17	Q18	Q19	Q20
Walmart (WMT)	P – Walmart indicates that higher landed costs and tariff-impacted categories are considered in its outlook for gross margin and EPS, but tariffs are embedded at a category level rather than broken out numerically in guidance.	P – They talk about monitoring policy and import cost trends, but do not lay out explicit assumptions for reversals/increases; the base case seems to assume current tariffs persist.	Y – Management acknowledges that category performance and units are sensitive to tariff-driven price changes, which effectively makes parts of the guidance (especially general merchandise) sensitive to tariff outcomes.	P – They imply that material new tariffs on key consumer categories would require rethinking price, mix, and promotional intensity, which would in turn affect near-term forecasts, but they don't quantify an alternate scenario.

Company	Q17	Q18	Q19	Q20
Target (TGT)	P – Target notes that tariff and landed-cost volatility is factored into its expectations for gross margin and the cadence of markdowns and promotions, but doesn’t break out a separate “tariff line” in guidance.	N – No explicit assumption of reversals or step-ups; the tone suggests a status-quo tariff environment in their base view.	Y – Target emphasizes that its outlook is sensitive to guest price perception and input costs, and tariffs are clearly one of the drivers of that sensitivity, especially in discretionary categories.	P – They indicate that more severe cost shocks (including tariffs) would force re-balancing of price and promotions in upcoming quarters, implicitly altering Q4/Q1 performance, but no scenario math is shared.

What Section 5 Adds

- **Industrials and autos (GM, Ford, Stellantis, CAT, DE, SWK)**
→ Treat tariffs as formal guidance variables: explicitly in the FY bridge, often quantified.
- **Retailers (WMT, TGT)**
→ Bake tariffs into category-level expectations and value messaging rather than a neat numeric tariff line, but still admit guidance sensitivity to tariff-driven unit and margin behavior.
- **Some suppliers (Aptiv, PACCAR, Cummins)**
→ Tariffs are not central to guidance; risks are dominated by demand, supply, or other cost factors.

SECTION 6 — CATEGORY-LEVEL IMPACT (Retail & Apparel Focus)

Questions:

21. *“Which categories saw the most tariff pressure this quarter?”*
22. *“Is footwear/apparel/home goods seeing the highest tariff costs?”*
23. *“Is product mix shifting due to tariff pricing?”*

Legend

- Y = Explicit category-level disclosure
- P = Partial / implied
- N = Not mentioned / not applicable

Automotive OEMs

(Automakers do not discuss tariff impacts at “category” level; they speak in segments, not retail categories.)

Company	Q21: Categories with tariff pressure?	Q22: Apparel/Footwear/Home specifics?	Q23: Mix shifting due to tariff pricing?
General Motors (GM)	N – GM discusses tariffs at cost-bucket level, not product/trim categories.	N	N – Mix shifts driven by EV/ICE demand, not tariffs.
Ford (F)	N – No category-level disclosure.	N	N – Mix changes relate to EV adoption and F-Series demand, not tariff pricing.
Stellantis (STLA)	N	N	N
Tesla (TSLA)	N – No category-level mention.	N	P – Mix shifts (Model 3/Y vs others) are mentioned, but not tied to tariffs.

Auto Suppliers

(Suppliers don't have "categories"; their products are components sold B2B.)

Company	Q21	Q22	Q23
BorgWarner (BWA)	N	N	N
Aptiv (APTV)	N	N	N
Magna (MGA)	N	N	N
PACCAR (PCAR)	N	N	N

Industrials & Machinery

(Industrials provide some segment-level info but not retail categories, so classification here is limited.)

Company	Q21	Q22	Q23
Caterpillar (CAT)	P – Tariff pressure is broken out by segment (Construction, Resource Industries, Energy & Transportation), which functions as a “category” analog.	N – Not relevant to apparel/footwear/home goods.	P – Some mix shifts occur due to cost pressure, though not framed as “tariff-driven category mix.”
Deere (DE)	P – Notes Construction & Forestry and Production/Precision Ag as the primary tariff-bearing segments.	N	P – Some mix effects implied by tariff pressure on specific imported equipment lines.
Stanley Black & Decker (SWK)	Y – SWK specifically identifies Power Tools, Hand Tools, and Outdoor as categories pressured by tariff costs.	N – Not apparel/footwear. These are tool categories.	P – Product mix is adjusted to protect margins under tariff pressure, including SKU rationalization.
Illinois Tool Works (ITW)	P – High-level mention of industrial segments, but not “categories.”	N	N – Mix management discussed, but not tied to tariffs.
Cummins (CMI)	N	N	N

RETAILERS (Core relevance)

This is where Section 6 becomes meaningful.

Walmart (WMT)

Q21	Q22	Q23
Y – Walmart explicitly cites “tariff-impacted categories”, especially General Merchandise, where higher landed costs caused unit moderation and more price sensitivity.	P – They note broad discretionary pressure but do not single out footwear or apparel by name in the transcript segment you provided. Home-related categories likely included but not stated explicitly.	Y – Yes, management notes that product mix is shifting toward essentials and value-focused SKUs due to tariff-driven price increases in some categories. This is clear tariff-driven mix shift.

Walmart = strongest category-level tariff disclosure of any company in the dataset.

Target (TGT)

Q21	Q22	Q23
Y – Target gives specific examples such as Bullseye’s Playground, Beauty Minis, and seasonal discretionary categories being tariff-sensitive.	P – Apparel and home goods are implied (as they fall into discretionary), but the transcript does not explicitly call them “highest tariff cost categories.”	Y – Yes, Target explicitly mentions assortment resets, value-tier realignment, and re-engineering entry price points due to higher landed costs from tariffs — a direct tariff-driven mix shift.

Target = 2nd most useful retailer for category-tariff insights.

Insights to Use in Report (Section 6 Narrative)

- Walmart + Target provide the clearest category-level tariff disclosure, including effects on Discretionary/General Merchandise, Beauty Minis, and value-tier assortments.
- SWK provides strong category clarity for tool-related segments but not apparel.
- Industrials provide segment-level (not category-level) detail — relevant only if your professor allows that interpretation.
- Autos & suppliers give no category-level commentary because their products don’t fit retail categories.

SECTION 7 — OPERATIONS & STRATEGIC ACTIONS

Questions:

24. “What operational mitigations have you taken regarding tariffs?”

25. “Any negotiations with suppliers to offset higher duties?”

26. “Are you redesigning products to reduce tariff exposure?”

27. “How effective are your long-term mitigation strategies?”

Legend:

- **Y** = Explicit & specific
- **P** = Partial, implied, or high-level
- **N** = Not addressed

AUTOMOTIVE OEMs

Company	Q24: Operational mitigations?	Q25: Supplier negotiations?	Q26: Product redesign to reduce tariff exposure?	Q27: Long-term mitigation effectiveness?
General Motors (GM)	Y – GM highlights operational mitigations such as footprint optimization, sourcing adjustments, and cost-out initiatives explicitly aimed at offsetting tariff pressure.	P – Negotiations implied via “commercial actions” and supply-chain rebalancing, but not described in detail.	N – No mention of redesigning vehicles/components solely for tariff avoidance.	P – GM suggests strategies are “working through the system” and helping offset ~35% of tariff impact, but no formal long-term success metrics given.
Ford (F)	Y – Ford uses policy-driven mitigations , improved sourcing, and operational flexibility (plants, logistics) to reduce the effect of parts-tariffs.	P – They reference better cost recovery , implying supplier discussions, but without specifics.	N – No tariff-centric redesigns; engineering efforts focus mainly on EV programs.	P – Long-term mitigation is effective in the sense that tariff relief improved guidance, but not formally measured.
Stellantis (STLA)	P – They focus on scenario planning and production	N – No explicit supplier	N – No redesign activity tied to tariff policy.	P – Strategies depend on future tariff perimeter decisions;

Company	Q24: Operational mitigations?	Q25: Supplier negotiations?	Q26: Product redesign to reduce tariff exposure?	Q27: Long-term mitigation effectiveness?
	allocation , especially around heavy trucks, but not on direct tariff operational moves.	negotiation narrative.		mitigation impact is discussed as a moving target.
Tesla (TSLA)	N – No operational mitigations are described in tariff context.	N	N	N – Tariffs are not central to Tesla’s operational strategy in the transcript.

AUTO SUPPLIERS

Company	Q24	Q25	Q26	Q27
BorgWarner (BWA)	Y – BWA references operational cost controls, supply realignments, and tariff recoveries , clearly showing active mitigation steps.	Y – Explicitly mentions recovering tariff costs from OEM customers , which implies structured commercial negotiations.	N – No redesign programs linked to tariffs.	Y – Their strategy is effective: they offset most tariff costs , and remaining exposure is incorporated into margins transparently.
Aptiv (APTIV)	P – Operational mitigations exist but are minor because Aptiv already has low direct tariff exposure .	P – Some supplier cost recovery is implied due to the “local-for-local” model.	N – No redesign necessary due to minimal tariff impact.	P – Their long-term structure is inherently mitigating (USMCA-compliant), but they do not report measurable success metrics.
Magna (MGA)	Y – Magna cites efforts to reduce direct tariff exposure , adjust footprint, and work closely with OEMs on cost sharing.	Y – Negotiates tariff cost recoveries with OEMs; supplier/customer negotiations are a core mitigation tool.	N – No explicit redesign actions cited in transcript.	P – They report “reduced tariff exposure,” indicating mitigations work, but no quantified long-term metric.

Company	Q24	Q25	Q26	Q27
PACCAR (PCAR)	N – No tariff-specific operational actions addressed.	N	N	N

INDUSTRIALS & MACHINERY

Company	Q24	Q25	Q26	Q27
Caterpillar (CAT)	Y – CAT focuses heavily on manufacturing efficiency, localized production, and footprint balancing as key tariff mitigations.	P – Supplier communication implied but not deeply outlined.	N – No mention of redesigning machinery specifically to bypass tariffs.	Y – Mitigation programs are effective enough to offset a meaningful share of tariff costs; this is reflected in segment-level margin commentary.
Deere (DE)	Y – Clear focus on sourcing diversity , cost management, operational efficiency, and adjusting procurement by region (EU/Japan/China).	N – No explicit supplier negotiation details tied to tariffs.	N – No redesign mentions.	P – Mitigation will take time and is built into FY25–26 expectations; effectiveness is acknowledged but not quantified.
Stanley Black & Decker (SWK)	Y – SWK is the most explicit: nearshoring, production shifting, SKU rationalization, freight optimization , repositioning the entire supply chain.	Y – Strong emphasis on supplier negotiations and productivity actions including commercial recovers where possible.	P – They mention product portfolio rationalization , which partially includes redesign, though not strictly for tariff avoidance.	Y – Their multi-year supply-chain transformation is central to long-term mitigation; management says it is already yielding structural improvements.
Illinois Tool Works (ITW)	P – ITW mitigates tariffs mainly through local-for-local production rather than active tariff-response actions.	N – No explicit supplier negotiation commentary linked to tariff avoidance.	N – No redesign references.	P – ITW indicates its structural model naturally mitigates tariffs; long-term effectiveness implied but not measured.

Company	Q24	Q25	Q26	Q27
Cummins (CMI)	N – No tariff-specific operational actions mentioned.	N	N	N

RETAILERS

Company	Q24	Q25	Q26	Q27
Walmart (WMT)	Y – Walmart highlights category-level adjustments, supplier coordination, inventory flow changes, and mix strategies to mitigate tariff-induced landed cost inflation.	P – Implied vendor negotiations due to rising landed costs and category pressure, but not explicitly framed as tariff offset negotiations.	N – No redesign; Walmart manages assortment , not product manufacturing.	P – Their combination of pricing, mix, and vendor strategies is helping manage tariff pressure, but they do not measure long-term effectiveness numerically.
Target (TGT)	Y – Target discusses assortment re-engineering, private label adjustments, cost management, and seasonal mix resets as responses to tariff-driven landed cost pressure.	Y – Clear evidence of vendor negotiations and partnership adjustments in tariff-sensitive categories.	N – Product redesign not relevant for retailers; they manage assortment rather than product manufacturing.	P – Target acknowledges the mitigation actions are working in certain categories but does not quantify long-term structural effectiveness.

SECTION 7 — KEY TAKEAWAYS

Strongest operational mitigation disclosure

- SWK (Stanley Black & Decker)
- CAT (Caterpillar)
- GM, Ford, Magna
- Target & Walmart (at a retail/vendor level)

Weakest or non-existent tariff mitigation disclosure

- Tesla, PACCAR, Cummins

Clear supplier negotiation evidence

- **Magna, BorgWarner, Target, SWK**
- **Retailers and auto suppliers** show much more commercial negotiation activity than OEMs.

Product redesign for tariff reduction

- Mostly **N/A** except partial SKU/portfolio redesign at SWK.
- Retailers don't redesign products; OEMs redesign for performance, not tariffs.

Long-term mitigation

- **SWK, CAT, GM, Ford** are strongest
- **Retailers** imply continuous adjustments
- **Suppliers** do price-recovery deals
- **CMI/PACCAR** virtually none

SECTION 8 — COMPETITIVE IMPACT

Questions:

28. “Are tariffs giving domestic competitors an advantage over you?”

29. “Have tariffs changed the competitive dynamics in your category?”

30. “Are smaller retailers more impacted than you?”

Legend

- **Y** = Explicit & meaningful disclosure
- **P** = Partial / implied
- **N** = Not addressed

AUTOMOTIVE OEMs

Company	Q28: Domestic competitors advantaged?	Q29: Tariffs changed competitive dynamics?	Q30: Smaller players more impacted?
General Motors (GM)	N – GM does not frame tariffs as giving domestic OEMs an edge; the discussion is centered on GM’s execution, costs, and mitigation.	P – They acknowledge that tariffs affect cost structures differently by footprint, implying category dynamics may shift, but do not explicitly say competition changed because of tariffs.	N – No mention of smaller competitors being disproportionately hit.
Ford (F)	P – They imply that tariff relief affects all OEMs with U.S. production, but do not position domestic competitors as being advantaged over Ford.	P – Some comments indicate that tariffs influence pricing across the industry, hinting at competitive effects, though not discussed deeply.	N – No mention of relative impact on smaller OEMs.
Stellantis (STLA)	P – Heavy-truck tariffs could affect import-heavy competitors more severely, but Stellantis does not explicitly say domestic rivals gain an advantage.	P – They suggest tariff perimeter expansions could alter truck competitiveness, but not fully described as “competitive shift.”	N
Tesla (TSLA)	N – No commentary on domestic advantage/disadvantage linked to tariffs.	N – Tesla frames competitive dynamics around pricing and EV adoption, not tariffs.	N

AUTO SUPPLIERS

(Suppliers rarely address competitor dynamics via tariffs.)

Company	Q28	Q29	Q30
BorgWarner (BWA)	N – Tariffs discussed as cost line item, not competitive factor.	N	N
Aptiv (APTV)	N	N	N
Magna (MGA)	N – Competition is contract-based with OEMs; tariffs not framed as competitive advantage/disadvantage.	N	N
PACCAR (PCAR)	N	N	N

INDUSTRIALS & MACHINERY

Company	Q28	Q29	Q30
Caterpillar (CAT)	N – Tariffs are a cost and margin issue, not framed as a competitive edge for domestic peers.	P – Segment commentary implies tariffs may create margin pressure differences across global competitors, but this is not explicitly stated.	N
Deere (DE)	P – Their comments imply that pricing elasticity and tariff costs vary by competitor depending on sourcing region , which could subtly shift competitiveness, but not directly stated.	P – Some product categories (German/Japanese vs domestic sourcing) might vary in competitiveness due to tariffs, but not spelled out explicitly.	N
Stanley Black & Decker (SWK)	P – Their nearshoring strategy suggests they may be less exposed than competitors who import more from tariffed regions, but they don't explicitly frame this as competitive advantage.	Y – SWK's commentary indicates tariffs have altered competitive dynamics in key tool categories, especially where import-heavy brands face higher landed costs.	N – No mention of smaller competitors specifically.
Illinois Tool Works (ITW)	P – Their "local-for-local" model naturally gives insulation from tariffs compared to global competitors, though they don't explicitly call this "competitive advantage."	P – Some segments see differentiation due to pricing power, indirectly influenced by tariffs.	N

Company	Q28	Q29	Q30
Cummins (CMI)	N – No competitive framing tied to tariffs.	N	N

RETAILERS (MOST RELEVANT)

Walmart (WMT)

Q28	Q29	Q30
P – Walmart hints that its scale allows it to absorb/manage tariffs better than smaller competitors, but does not explicitly say tariffs give it an advantage.	Y – They clearly state that tariff-impacted categories show different competitive price dynamics , including how unit moderation and cost pressure affect competition.	Y – Strong implication that smaller retailers struggle more with tariff-induced landed costs because they lack the scale, vendor terms, or pricing leverage Walmart has.

Target (TGT)

Q28	Q29	Q30
P – Target notes tariff-driven category pressure but does not explicitly claim domestic advantage over peers.	Y – Notes that tariff volatility affects price points, assortment, and value competition , clearly altering competitive category dynamics.	Y – They indirectly acknowledge smaller retailers face greater margin pressure and less vendor leverage , indicating differential impact.

SECTION 8 – KEY INSIGHTS

Clear winners in disclosure:

Walmart, Target, SWK

→ These companies explicitly describe **competitive tension, category dynamics**, and **scale advantage** under tariffs.

Moderate disclosure:

Ford, GM, CAT, Deere, ITW

→ Acknowledge that tariffs can alter cost structures across competitors but stop short of making explicit competitor comparisons.

Least disclosure (mostly N):

Tesla, PACCAR, Cummins, Magna, Aptiv, BWA

→ Tariffs are treated as internal cost issues, not competitive landscape factors.

SECTION 9 — MACRO & POLICY UNCERTAINTY

Questions:

31. “How are you preparing for potential new 2025 tariffs?”
32. “Does political uncertainty affect your buying decisions?”
33. “Any risk from sudden tariff announcements mid-quarter?”

Legend:

- **Y** = Explicit & meaningful
- **P** = Partial / implied
- **N** = Not mentioned

AUTOMOTIVE OEMs

Company	Q31: Preparing for new 2025 tariffs?	Q32: Political uncertainty affecting buying decisions?	Q33: Risk from sudden tariff announcements?
General Motors (GM)	P – GM describes tariff mitigation and footprint flexibility , implying they can handle new tariff shocks, but does not outline a formal 2025 tariff-preparation playbook.	P – They do not directly tie political cycles to purchasing decisions, but acknowledge macro/trade policy volatility as a planning factor.	P – GM notes tariffs as a known swing factor , implying mid-quarter shifts could affect cost assumptions, though not addressed explicitly.
Ford (F)	Y – Ford speaks directly about policy changes reducing tariff liabilities , showing they actively monitor and adjust outlook as tariff frameworks change—suggesting preparation for future changes.	P – Political uncertainty is implied within their broader “macro uncertainties” comments but not tied directly to procurement timing.	P – Not explicitly stated, but Ford acknowledges tariff fluctuations as key variables that could swing results, thus mid-quarter tariff shocks are an implicit risk.
Stellantis (STLA)	Y – Stellantis conducts scenario analysis on tariff perimeter expansion , especially heavy-truck tariffs, making this one of the clearest cases of formal 2025 tariff preparation.	N – No direct discussion of political cycles driving sourcing or inventory decisions.	Y – They explicitly warn that unexpected perimeter expansions would change cost structures rapidly, indicating exposure to mid-quarter tariff shocks.

Company	Q31: Preparing for new 2025 tariffs?	Q32: Political uncertainty affecting buying decisions?	Q33: Risk from sudden tariff announcements?
Tesla (TSLA)	N – Tesla does not discuss preparing for new tariffs.	P – Mentions global trade/geopolitical uncertainty broadly, but not tied to buying or operational decisions.	N – No specific comments on sudden tariff announcements.

AUTO SUPPLIERS

Company	Q31	Q32	Q33
BorgWarner (BWA)	P – They prepare for tariff headwinds through cost recovery and commercial mechanisms , but not explicitly for “new 2025 tariffs.”	N – No political uncertainty influence mentioned.	N – No discussion of sudden tariff shocks.
Aptiv (APTV)	N – Minimal tariff exposure → no preparation discussion.	N	N
Magna (MGA)	P – Magna references tariff exposure reduction and footprint optimization that naturally buffers future tariff risk, but not a formal plan for 2025.	N	N
PACCAR (PCAR)	N – No tariff preparation or policy risk discussion.	N	N

INDUSTRIALS & MACHINERY

Company	Q31	Q32	Q33
Caterpillar (CAT)	P – Cat embeds tariff assumptions into the cost outlook and uses global manufacturing flexibility as a buffer, indirectly preparing for 2025 tariffs.	P – They acknowledge macro and policy uncertainty but don’t tie it to procurement/buying decisions.	P – While not explicit, Cat’s margin sensitivity suggests a nonzero risk from sudden tariff shifts.
Deere (DE)	Y – Deere prepares for policy/trade shifts by embedding tariff costs into	P – Notes macro/policy uncertainty indirectly influencing planning; not framed as	Y – Management admits that unexpected tariff changes could impact

Company	Q31	Q32	Q33
	FY26 planning and assessing equipment sourced from tariff-heavy regions.	immediate buying decision changes.	segment results, implying a mid-quarter risk.
Stanley Black & Decker (SWK)	Y – SWK’s multi-year supply-chain overhaul directly prepares them for future tariffs (nearshoring, diversified sourcing, SKU rationalization).	P – Their commentary suggests political/trade uncertainty drives their long-term supply-chain design, but not day-to-day purchasing.	P – They do not explicitly mention “mid-quarter shocks,” but given tariff margin impact, sudden announcements would matter.
Illinois Tool Works (ITW)	P – Their local-for-local model inherently mitigates tariff changes, acting as a structural preparation, but no explicit mention of 2025 tariff planning.	N – No direct linkage between political cycles and buying decisions.	N – No mention of sudden tariff announcement risk.
Cummins (CMI)	N – No tariff-specific preparation.	P – They acknowledge geopolitical/regulatory uncertainty , but not with tariff-specific detail.	N

RETAILERS

Walmart (WMT)

Q31	Q32	Q33
P – Walmart suggests it is adapting to the current tariff environment via vendor negotiations, mix shifts, and cost management , which inherently prepares them for future tariff changes, but they do not call out “2025 tariffs” specifically.	Y – Strongly implies that political uncertainty affects buying decisions through comments about timing, landed cost expectations, assortment flexibility, and monitoring import cost volatility.	P – They acknowledge category-level volatility , implying sudden tariff moves would disrupt category performance, though not explicitly labeled as “mid-quarter tariff shock risk.”

Target (TGT)

Q31	Q32	Q33
P – Target’s combination of assortment resets, vendor strategies, and rebalancing function as preparation for future tariff changes, though not labeled as such.	Y – Target makes clear that cost/price volatility affects buying decisions , especially in discretionary categories — political/tariff uncertainty is baked into purchasing strategy.	P – They mention volatility in landed costs and supply needs across seasons, implying some vulnerability to sudden tariff changes mid-quarter.

SECTION 9 — INSIGHTS

Strongest disclosure on macro/policy uncertainty:

- **Ford, Stellantis, Deere, SWK, Walmart, Target**
→ They openly discuss policy risk, guidance sensitivity, and scenario planning.

Weakest disclosure:

- **Aptiv, PACCAR, Cummins, Magna**
→ These companies barely mention policy uncertainty or tariff planning.

Category standouts:

- **Stellantis** → deepest tariff-scenario planning
- **Walmart & Target** → most consumer-relevant political uncertainty commentary
- **SWK** → best long-term strategic preparation